This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Tech Upgrades: More Than You Might Think



Robert Schiffman
Team: Credit
BI Senior Credit Analyst

AI Suppliers Lead $276 Billion of Tech Rating-Upgrade Potential

Contributing Analysts Suchi Trivedi

(Bloomberg Intelligence) -- AI spending has yet to derail tech credit improvement, with about $276 billion of bonds carrying upgrade potential as strong demand, Ebitda growth and more than $1 trillion of cash support ratings momentum, led by infrastructure suppliers such as Broadcom, Nvidia and Dell, plus CoreWeave. That positive bias could reverse quickly, however, if hyperscaler capex, leases and off-balance-sheet financing keep climbing, as one or two outlook changes among the sector's largest debt issuers could materially shift the balance. (09/25/26)

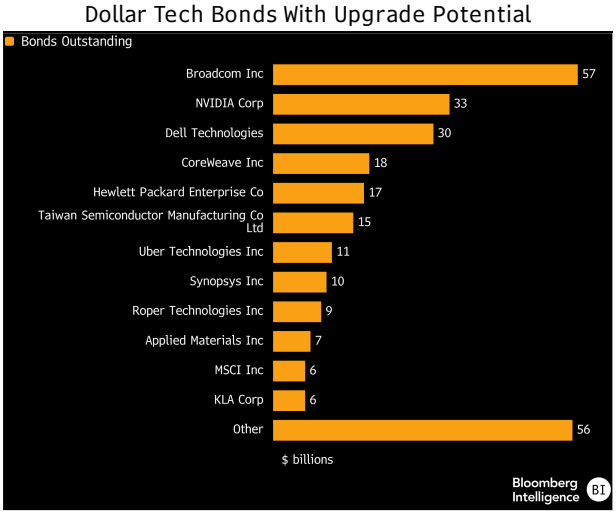
1. Considerable Upgrade Potential Remains

Contributing Analysts Suchi Trivedi

AI spending concerns are being outweighed by positive ratings momentum, with about $276 billion of tech-sector debt carrying upgrade potential. Hardware and infrastructure beneficiaries lead the trend: Broadcom has more than $50 billion of bonds with positive ratings bias, followed by Nvidia at $33 billion, Dell Technologies' $30 billion and CoreWeave with $18 billion. The divergence is notable: companies supplying AI capacity are seeing improving credit trajectories even as hyperscalers take on more debt to fund it. Upgrade potential has risen modestly in recent months, helped by Nvidia's $25 billion June issuance and Moody's August move of Dell to a positive outlook.

Our potential-upgrade list includes issuers that are either under review for an upgrade or carry a positive outlook from at least one of Moody's, S&P or Fitch. (09/25/26)

Dollar Tech Bonds With Upgrade Potential



2. List Skewed Toward Investment Grade

Contributing Analysts Suchi Trivedi

Issuers across the ratings spectrum, from B to AA, appear on our list for potential upgrades, but the roster is dominated by those in the investment grade part of the credit curve. Ratings so far this year

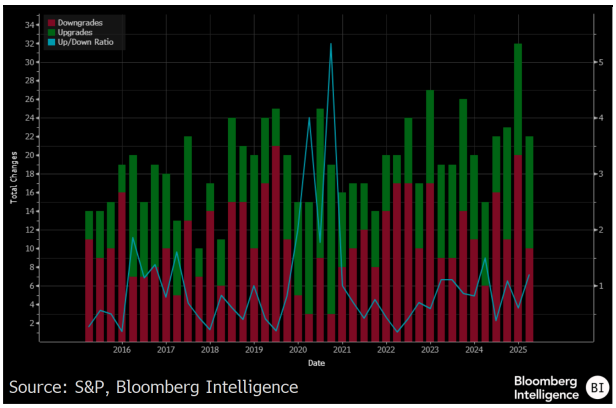
This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

have had a mixed bias, with a 0.92x upgrade-to-downgrade ratio at S&P, and 0.74 at Moody's.

Ratings momentum remains positive on a dollar-weighted basis over the next 12-24 months, supported by rising revenue and Ebitda and more than $1 trillion of tech-sector cash and equivalents. That balance could turn quickly, however, if hyperscaler capex, leases and other off-balance-sheet financing keep rising. With debt concentrated among a few of the sector's largest issuers, one or two negative outlook changes could materially shift the aggregate ratings bias. (09/25/26)

S&P North America Tech Ratings Upgrades/Downgrades

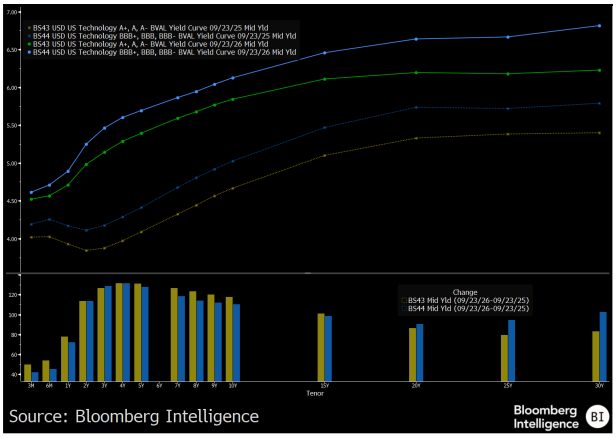


3. Tech Curves Diverge as Yields Rise Across Ratings

Contributing Analysts Suchi Trivedi

Tech yields have increased over the past year, while curve moves have diverged by rating. The 2-year/10-year yield gap widened by about 4 bps for single A issuers, indicating modest steepening, while the triple B curve flattened by about 4 bps. A sizable amount of debt remains on positive outlook at one or more raters, suggesting improving credit fundamentals could help cushion further spread widening. (09/25/26)

Tech Yields Reprice Higher Across Curve



4. Nvidia Shock & Awe Unleashes Growth, Returns: Credit Outlook

Contributing Analysts Suchi Trivedi

THESIS: Following another record quarter for revenue and Ebitda in fiscal 2Q27, Nvidia's visibility into fiscal 2028 revenue points to an extended period of exceptional growth and shareholder returns that could outpace its largest technology peers. Even as Nvidia deploys its balance-sheet strength to

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

support LLMs and neoclouds that need capital to fund purchases of its products, formidable liquidity and cash generation provide ample flexibility to meet that demand without weakening credit quality. Continued earnings growth and balance-sheet strength position Nvidia increasingly close to the elite AAA ratings tier.

Even after heavy issuance, in-line to modestly wider spreads vs. quality peers leave limited room for compression, making balance-sheet strength and cash-flow durability more important than near-term spread improvement. (08/29/26)

5. Broadcom $100 Billion Backstop Reward Tops Risk: Credit Outlook

Contributing Analysts Suchi Trivedi

THESIS: Broadcom's potential $100 billion of AI infrastructure financing support could accelerate semiconductor revenue benefits that outweigh the added credit risk. Bloomberg News reports a bond deal that may include $60-$70 billion of senior secured debt, partly backstopped by Broadcom, plus about $30 billion of junior debt. After June's $35 billion financing for Anthropic compute capacity, longer-dated commitments could raise residual value and customer exposure, while repeated structures may reduce balance-sheet flexibility.

Broadcom’s long-dated bond spreads have widened about 15 bps since early August, which appears to overstate the incremental risk. AI growth is a meaningful offset: Fiscal 2Q AI semiconductor revenue rose 143%, and management expects more than 200% growth in 3Q to $16 billion. (08/26/26)

6. HPE's AI Growth, M&A Execution Set Record Highs: Credit Outlook

Contributing Analysts Suchi Trivedi

THESIS: Hewlett Packard Enterprise's credit profile continues to strengthen, supported by record fiscal 3Q revenue, rising free cash flow and healthy AI infrastructure demand. Management raised its fiscal 2026 revenue-growth outlook to 34-37%, or 21-23% on a normalized basis including Juniper's pre-acquisition results. Double-digit Cloud & AI growth, triple-digit traditional server orders and record AI systems backlog reinforce the top-line trajectory.

Juniper integration is progressing well. HPE has cut net leverage to 1.8x, below its original 2x post-deal target, aided by about $2.1 billion of net-debt repayment year to date. Even with stronger fundamentals and faster deleveraging, HPE's bonds lack a clear intermediate-term catalyst for material spread compression, as valuations screen modestly tight vs. comparable BBB tech peers. (09/09/26)

7. Dell Turns Corner on Deleveraging, Shifts Focus to Shareholders

Following a successful multiyear deleveraging effort, Dell's focus on shareholder returns is set increase. Dell's business and financial position is arguably the strongest since its 2018 IPO, with its enterprise value rising considerably. Even amid increasing shareholder returns, Dell's credit profile remains strong, with mid-BBB rankings across raters and bond spreads near multiyear tights. Consistent free-cash-flow generation, sharply lower core and total debt, and a commitment to balance-sheet flexibility support an extended period of credit stability.

With a paydown of debt and a path toward improving Ebitda, Dell ended its fiscal 4Q at 1.4x, below its long-term leverage target, even after returning an above-trend amount of capital to shareholders. (03/13/26)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Interactive Dell Credit Checklist

Credit Drivers	Outlook	Outlook Trend	Weighting (%)
Earnings & Cash Flow		⬌	25
Leverage & Financial Policies		⬌	25
Competitive Landscape		⬌	10
M&A		⬌	5
Event Risk		⬌	5
Stock Performance		⬌	15
Debt Maturities		⬌	15
Valuation		⬌	N.A.

Unfavorable Neutral Favorable

Note: This reflects a qualitative analysis by a Bloomberg Intelligence Analyst and is as of the date of publication.

Bloomberg Intelligence

Source: Bloomberg Intelligence

Uber Growth Stays in Fast Lane? Ebitda, Free Cash Can Accelerate

Uber's (Baa1/BBB/BBB+) rising ratings trajectory may continue, as positive outlooks across raters suggest further upgrades may soon be approaching. Double-digit top-line and Ebitda growth provide significant organic deleveraging potential, while an abundance of record free cash keeps the door open to higher shareholder returns without jeopardizing credit quality. (04/21/26)

8. Big Tech Bond Boom: Another Record in 2027 as AI Splurge Endures

Contributing Analysts Suchi Trivedi

Big tech looks poised to break another record for high grade issuance in 2027, defying concerns that this year's pace isn't sustainable as surging AI investment overwhelms the sector's formidable cash generation. Issuance across currencies has already topped $400 billion in 2026, surpassing 2025's record, and could reach $500 billion next year as refinancing needs, shareholder returns and still-rising AI capital spending keep borrowing elevated. This debt surge is unlikely to trigger broad ratings pressure as Ebitda growth keeps leverage under control for most large issuers and funding markets remain receptive despite vocal skepticism. (09/23/26)

To contact the analyst for this research:

Robert Schiffman at rschiffman3@bloomberg.net

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.